

Lecture Notes — Module 2

ECON 251 — Intermediate Microeconomics | Franklin University

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Textbook & Chapter/Module: Module 2 Lecture Notes — Market Power (Monopoly & Monopsony) and Pricing Strategies

Key Terms & Definitions

List important vocabulary from the chapter and define each in your own words.

- **Market power** — the ability of sellers or buyers to affect the price of a good.
- **Monopoly power** — power held by sellers who charge a price above marginal cost; measured by the extent to which price exceeds marginal cost.
- **Monopsony power** — power held by buyers who obtain a price below their marginal value of the good; measured by the extent to which marginal value exceeds price.
- **Pure monopoly** — a market with only one seller; monopoly power depends entirely on the elasticity of market demand.
- **Pure monopsony** — a market with only one buyer; monopsony power depends entirely on the elasticity of market supply.
- **Rent seeking** — spending resources to obtain or protect market power, adding social costs beyond the deadweight loss.
- **Antitrust laws** — laws relied on to prevent firms from obtaining excessive market power.
- **Price discrimination** — charging different prices to different customers; perfect price discrimination means charging each customer their exact reservation price.
- **Two-part tariff** — a pricing scheme with an entry fee plus a per-unit price; most effective when customer demands are relatively homogeneous.
- **Pure bundling** — selling two or more goods only as a package.
- **Mixed bundling** — allowing customers to buy goods individually or as a package.
- **Tying** — a requirement that products be bought or sold in some combination; bundling is a special case of tying.

Main Concepts / Summary

Summarize the chapter's main ideas — what is this module trying to teach?

- Market power comes in two forms: monopoly power (sellers) and monopsony power (buyers).
- Monopoly power depends in part on the number of competing firms. With a pure monopoly, power depends entirely on the elasticity of market demand — the less elastic

the demand, the more power the firm has. With several firms, power also depends on how aggressively they compete; more aggressive competition means less power per firm.

- Monopsony power depends in part on the number of buyers. With a pure monopsony, power depends on the elasticity of market supply — the less elastic the supply, the more power the buyer has. With several buyers, power also depends on how aggressively they compete for supplies.
- Market power imposes costs on society: production falls below the competitive level, creating a deadweight loss of consumer and producer surplus, plus possible additional costs from rent seeking.
- Scale economies can sometimes make a pure monopoly desirable, but government may still want to regulate price to maximize social welfare. More generally, antitrust laws are relied on to prevent firms from gaining excessive market power.
- Firms with market power can earn large profits, but realizing that potential depends heavily on pricing strategy. Even a single-price strategy requires an estimate of demand elasticity; more complex, multi-price strategies require even more information about demand.
- A good pricing strategy aims to enlarge the firm's customer base and capture as much consumer surplus as possible — usually by setting more than one price.
- Perfect price discrimination (charging each customer their reservation price) is almost always impossible in practice; various forms of imperfect price discrimination are used instead to raise profits.
- The two-part tariff captures consumer surplus through an entry fee plus a per-unit price, and works best when customer demands are relatively homogeneous.
- When demands are heterogeneous and negatively correlated, bundling can raise profits. Mixed bundling can beat pure bundling when marginal costs are significant or demands are not perfectly negatively correlated.
- Bundling is a special case of tying, which can be used to meter demand or to protect the goodwill associated with a brand name.
- Advertising can further increase profits, guided by the profit-maximizing advertising-to-sales ratio.

Important Formulas, Graphs, or Models

Write out any formulas or sketch/describe any graphs introduced in the module.

- Monopoly power measure: $\text{Price} - \text{Marginal Cost}$ (the larger the gap, the greater the monopoly power).
- Monopsony power measure: $\text{Marginal Value} - \text{Price}$ (the larger the gap, the greater the monopsony power).
- Profit-maximizing advertising-to-sales ratio = $(\text{advertising elasticity of demand}) / (\text{price elasticity of demand})$, in magnitude.
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Examples From the Reading

Note any worked examples or case studies the module uses to illustrate concepts.

Questions / Things to Clarify

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Anything confusing or worth asking about in class or office hours.

How This Connects

Link this module to lecture material, prior coursework, or real-world examples.

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